

THE MORTGAGE MAILBAG

with Chana (Ann) Zeilingold

Ann is a 26-year veteran of the mortgage industry specializing in residential mortgages. She enjoys helping people achieve the dream of home ownership and is dedicated to making sure that no stone is left unturned in her quest to help her clients in that endeavor.

Q: Dear Chana,

I am looking to buy a home, and I don't know where to start. When I spoke to my bank, they told me to bring in paystubs and W-2 forms to verify my income. I get a housing allowance, so I don't get a W-2 on all of my income. What can I do?

Moshe

A: Dear Moshe,

Your question is one that is specific and unique to a member of the clergy who receives parsonage income, which is non-taxable income. Not all banks accept it if it is not listed on the tax return, and your local bank has probably never even heard of it, so they don't understand it. The good news is that it is income that can be used for a mortgage. There are a few requirements:

- A. You have to be receiving it for at least one year.
- B. It has to be verified in writing by your employer, along with a letter stating it will likely continue.
- C. You must provide cleared checks or your deposit record proving that you did in fact receive it for the past year.

Q: Dear Chana,

I will be looking to purchase a house soon. When do I speak to a mortgage professional?

Beryl

A: Dear Beryl,

The answer is one simple word: now! The first step you need to take is to speak to a mortgage professional who understands shlichim and their income and housing requirements. There are so many things to discuss before you begin your loan process. There are the basics, your credit and credit score, your down payment and source of the down payment, and then of course your income.

There are some common issues that we encounter from time to time and have overcome, but with a bit of planning, the whole mortgage process would have been less challenging:

- The shaliach signed his own checks.
- The shaliach was paid housing expenses and the rest of his income was on a 1099 (self-employment).
- The shaliach never received his parsonage personally because it was paid to third parties, i.e., credit card bills, rent, etc.
- A not-for-profit provided the down payment.

Q: Dear Chana,

I just got turned down for a mortgage. What is my recourse, and how long does it take to get a new mortgage loan?

Mendi

A: Dear Mendi,

Unfortunately, getting turned down happens to a lot of people, but many of them do manage to get a loan elsewhere. In the meantime, the stress related to being denied is immeasurable. You definitely can and should re-apply. Not all mortgage underwriters are the same! We have closed loans that other lenders have denied, many times. It will take a minimum of two weeks to get a new mortgage, depending on the status of your paperwork. The new mortgage company has to go through all the legal requirements of disclosure, and this all takes time. They have to order a new appraisal, process and underwrite the file, etc. Most sellers will wait for you. The good thing is that when you do get the mortgage commitment and move into the new home, you will appreciate it so much more.

Q: Dear Chana,

It is very hard to find the right home that suits our community responsibility and our growing family. We have to buy within a specific area, and we just don't know what to do. We can do a "normal" down payment, about 20 percent, but we have no money left for any type of construction. Do you have any suggestions for us?

David and Sara

A: Dear David and Sara,

Your question is excellent and more common than you might think. What I am gathering from your question is that

you need to live in a specific locale but the homes may be too small or you may need to do extensive renovation. There is an excellent loan for such situations called a rehab mortgage. This loan gives you the money to fix up a home with minor or major renovations. The way it works is that you purchase the home and have a contractor give you an itemized estimate of repairs and renovations. If it is a bigger job, we would also need plans and specs. The appraiser evaluates the house as is and again after it's been improved. We lend you the money from the "after improved" value. For example, let's say you purchase a home for \$350,000, and you want to put in \$100,000. When we review the loan, we review your contractor's estimate and the appraisal. Let us assume the home now will appraise for \$450,000, and you wanted to put down 20 percent. We would lend you \$360,000. We would put the rehab money in an escrow and release it to you as you complete the work on the house. The loan is a

bit more complicated than I discussed here. There are other requirements for reserve funds, consultants who review the scope of the job, etc. The bottom line is that this loan can be the right loan for you if you need to do any major or minor renovations on the home you want to purchase. It is the only way that you can borrow more than what you paid for the house. There are just a few caveats that are specifically important for a shliach to know:

- A. Parsonage that is not reported on the tax return is not allowed in most instances.
- B. Renovations have to be allowable and within the median cost of improvements for your location.
- C. Renovations cannot be deemed luxurious (no pools, spas, hot tubs, etc.).

If you have any questions for our Mortgage Mailbag or if you would like a copy of Chana's book The Homebuyers Bible, please contact Chana (Ann) Zeilingold of First Meridian Mortgage.

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